

City Council
December 20, 2023

STAFF REPORT

To: City Council
From: Rob Rockwell, Asst. City Manager & Dir. Of Finance
Prepared by: Rob Rockwell, Asst. City Manager & Dir. Of Finance
Subject: **Developer mitigation fee reporting requirements pursuant to government code section 66006.**

RECOMMENDATION:

Receive and file the AB1600 reports.

SUMMARY:

California Government Code Section 66006 requires that an accounting of mitigation fees paid by developers be made public and that project related expenditures be reviewed at a regularly scheduled public meeting. Additionally, the Building Industry Association (BIA) and the Desert Valley Builders Association (DVBA) have requested that the city provide a report identifying expenditures made from development mitigation fees to ensure the city is in compliance with AB1600. Accordingly, copies of the City's AB1600 reports for the fiscal year ending June 30, 2023 were provided to both the BIA and the DVBA.

BACKGROUND INFORMATION:

In 1989, AB1600 was codified as Section 66000 of the Government Code. AB1600 added a new chapter to the Government Code on fees collected for capital improvement projects. The chapter sets forth a number of requirements that local agencies must follow if they are to collect mitigation fees from developers.

Section 66006 mandates the fee reporting requirements that local agencies must adhere to each fiscal year. The BIA developed and the DVBA has updated, with the City's concurrence the reporting format (attached). Staff compiles the report of expenditures paid from the mitigation fees and interest accrued on those fees. Each report covers the fiscal year ending June 30, 2023. The city has complied with the following eight reporting requirements for mitigation fees:

1. Create separate capital improvement funds or accounts for each improvement funded with mitigation fees, Government Code Section 66006 a.
2. Remit all interest income earned by the fees to the same fund; interest income must be spent solely on the purpose for which the fee was originally collected, Section 66006 a.
3. Within 180 days after the close of each fiscal year, prepare a public report concerning each mitigation fee fund. The report must include the fund's beginning and ending balance for the fiscal year, amount of fees and interest deposited into the fund for the fiscal year, and a

description of each expenditure from the fund for that year, including identification of the improvement being funded with the fee, Section 66006 a.

4. Review these reports at public meetings not less than 15 days after the report's release to the public, Section 66006 (b) (2).
5. If mitigation fees remain unexpended or uncommitted for five years after being collected, the local agency is to make a finding that there remains a reasonable relationship between the current need for the fees and the purpose for which they were originally charged, Section 66001 (d).
6. Refund to current owners or developers fees collected with accrued interest, for which a continued need for the fees cannot be demonstrated (Section 66001 (f)).
7. A local agency must not commingle mitigation fees with any other revenue, except for temporary investment purposes, Section 66006 (a).
8. Local agency may not spend mitigation fees for maintenance or operation of improvements funded with mitigation fees, Section 65913.8.

ATTACHMENTS:

[AB1600 FY2023](#)

[DVBA Repsonse](#)

APPROVAL(S):

Glendale Berdan, Accountant
Steven Graham, City Attorney
Bryan H. Montgomery, City Manager

Approved - 13 Dec 2023
Approved - 14 Dec 2023
Approved - 14 Dec 2023

AB1600 Report
City of Indio, California
Storm Drain
Government Code 66000 Calculation
FYE 6/30/2023

Storm Drain

311

Attachment No. 1

Development Type	Unit	Effective Date	
		August 1 2006	January 17 2022
Residential - Single Family	Per gross acre	8,961	2,764
Residential - Condo/Townhouse	Per gross acre	11,201	4,146
Residential - Apartment	Per gross acre	15,682	4,146
Residential - Mobile Home	Per gross acre	11,201	2,764
Commercial -Retail	Per gross acre	20,162	4,976
Commercial - Office	Per gross acre	20,162	4,976
Industrial	Per gross acre	20,161	4,976

The Fee is payable when the building permit is issued.

Account Description	Beginning Fund Balance	FY 2023	Ending Fund Balance
Revenues & Other Sources:			
Interest Earnings		(790)	
Development Impact Fees		802,620	
Intergovernmental/Other Agencies		50,588	
Total Sources		852,417	
Expenditures & Other Uses:			
Capital Projects		382,243	
Project Administration/Internal Engineering		29,624	
Total Uses		411,867	
Total Available	\$ 1,465,606	\$ 440,551	\$ 1,906,157

Five Year Test-Unsing First In First Out Method	Amount
DIF Collected	
2019	299,268
2020	296,667
2021	634,056
2022	1,044,192
2023	802,620
Total DIF Revenue For Last Five Years	\$ 3,076,803

Result : Five Year Spent Test Met in accordance with Government Code 66001 as there continues to be a reasonable relationship between the fee and the purpose for which it was adopted.

FY 2023 Capital Improvement Expenditures	FY Actuals
Jackson Street and Avenue 50 Improvements	21,805
Civic Center Storm Drain Program	360,438
Project Administration/Internal Engineering	29,624
Total	\$ 411,867

FY 2024 Planned Capital Improvement Expenditures	DIF Share	FY Budget	Total Project
Civic Center Storm Drain Project	30,428	4,026,000	4,150,000
Ave 44 Bridge	500,000	2,427,442	37,355,360
Jackson Street and Avenue 50 Improvements	552,009	6,266,075	16,098,624
Total	\$ 1,082,437	\$ 12,719,517	\$ 95,162,700

Development Type	Unit	Effective Date	
		August 1 2006	January 16 2022
Residential - Single Family	DU	1,374	2,451
Residential - Condo/Townhouse	DU	816	1,386
Residential - Apartment	DU	844	1,386
Residential - Mobile Home	DU	816	1,139
Commercial -Retail	KSF	3,827	9,432
Commercial - Office	KSF	1,520	2,847
Industrial	KSF	1,000	1,560

DU = dwelling unit; KSF = 1,000 gross sq ft of building area

The Fee is payable when the building permit is issued.

Account Description	Beginning Fund Balance	FY 2023	Ending Fund Balance
Revenues & Other Sources:			
Interest Earnings		(3,995)	
Development Impact Fees		800,707	
Intergovernmental/Other Agencies		4,751	
Total Sources		801,463	
Expenditures & Other Uses:			
Capital Projects		5,594	
Project Administration/Internal Engineering		434	
Prior Year Adjustment			
Total Uses		6,028	
Total Available	\$ 1,495,013	\$ 795,435	\$ 2,290,448

Five Year Test-Unsing First In First Out Method	Amount
DIF Collected	
2019	548,813
2020	383,750
2021	465,634
2022	877,147
2023	800,707
Total Revenue For Last Five Years	\$ 3,076,051

Result : Five Year Spent Test Met in accordance with Government Code 66001 as there continues to be a reasonable relationship between the fee and the purpose for which it was adopted.

FY 2023 Capital Improvement Expenditures	FY Actuals
Avenue 52 Improvements (Monroe - Madison)	1,313
Avenue 38-40 Widening (Jefferson)	4,281
Project Administration/Internal Engineering	434
Total	6,028

FY 2024 Planned Capital Improvement Expenditures	DIF Share	FY Budget	Total Project
Madison Street Improvements (Ave 48 - Hwy 111)	739,250	3,157,000	3,718,000
Jefferson Street and Highway 111 Intersection	155,835	822,000	974,000
Ave 44 Bridge	400,000	2,427,442	37,355,360
Jefferson Street Widening (Ave 38 - Ave 40)	40,000	300,000	3,344,000
Total	\$ 1,335,085	\$ 6,706,442	\$ 45,611,360

Traffic Signals

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Attachment No. 3

Development Type	Unit	Effective Date	
		August 1 2006	January 17 2022
Residential - Single Family	DU	262	302
Residential - Condo/Townhouse	DU	155	171
Residential - Apartment	DU	161	171
Residential - Mobile Home	DU	155	140
Commercial -Retail	KSF	971	1,163
Commercial - Office	KSF	386	351
Industrial	KSF	254	192

DU = dwelling unit; KSF = 1,000 gross sq ft of building area

The Fee is payable when the building permit is issued.

Account Description	Beginning Fund Balance	FY 2023	Ending Fund Balance
Revenues & Other Sources:			
Interest Earnings		4,924	
Development Impact Fees		165,128	
Intergovernmental/Other Agencies		0	
Developer Payment		0	
Total Sources		170,052	
Expenditures & Other Uses:			
Capital Projects		439,685	
Project Administration/Internal Engineering		34,076	
Prior Year Adjustment			
Total Uses		473,761	
Total Available	\$ 389,508	\$ (303,709)	\$ 85,799

Five Year Test-Unsing First In First Out Method	Amount
DIF Collected	
2019	133,282
2020	89,376
2021	90,596
2022	183,598
2023	165,128
Total Revenue For Last Five Years	\$ 661,980

Result : Five Year Spent Test Met in accordance with Government Code 66001 as there continues to be a reasonable relationship between the fee and the purpose for which it was adopted.

FY 2023 Capital Improvement Expenditures	FY Actuals
Monroe & Ave 41 Traffic Signal	400,416
HSIP 9 Traffic Signal Improvements	34,353
Avenue 44 and Lago Vista Traffic Signal	1,442
Shadow Ave Pedestrian Improvements	3,475
Project Administration/Internal Engineering	34,076
Total	\$ 473,761

FY 2024 Planned Capital Improvement Expenditures	DIF Share	FY Budget	Total Project
Monroe Street and Avenue 41 Traffic Signal	78,484	98,484	623,328
Jackson Street and Avenue 50 Improvements	50,000	6,266,075	16,098,624
Avenue 44 and Lago Vista Traffic Signal	50,000	100,000	800,000
Total	\$ 178,484	\$ 6,464,559	\$ 17,521,952

Parks & Recreation

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Attachment No. 4

Development Type	Unit	Effective Date	
		August 1 2006	January 17 2022
Residential - Single Family	DU	4,227	2,972
Residential - Condo/Townhouse	DU	3,303	2,625
Residential - Apartment	DU	2,774	2,625
Residential - Mobile Home	DU	3,303	2,774
Commercial -Retail	N/A	-	-
Commercial - Office	N/A	-	-
Industrial	N/A	-	-

DU = dwelling unit; KSF = 1,000 gross sq ft of building area

The Fee is payable when the building permit is issued.

Account Description	Beginning Fund Balance	FY 2023	Ending Fund Balance
Revenues & Other Sources:			
Interest Earnings		12,782	
Development Impact Fees		1,676,980	
Total Sources		1,689,762	
Expenditures & Other Uses:			
Debt Service Payment (Lease Revenue Park Bond)		1,270,252	
Total Uses		1,270,252	
Total Available	\$ 1,551,158	\$ 419,510	\$ 1,970,668

Five Year Test-Unsing First In First Out Method	Amount
DIF Collected	
2019	877,555
2020	954,617
2021	1,276,641
2022	1,744,314
2023	1,676,980
Total Revenue For Last Five Years	\$ 6,530,107

Result : Five Year Spent Test Met in accordance with Government Code 66001 as there continues to be a reasonable relationship between the fee and the purpose for which it was adopted.

FY 2023 Capital Improvement Expenditures	FY Actuals
Debt Service Payment (Lease Revenue Parks Bond)	1,270,252
Total	\$ 1,270,252

FY 2024 Planned Capital Improvement Expenditures	DIF Share	FY Budget	Total Project
Debt Service Payment (Lease Revenue Parks Bond)	1,236,773	N/A	N/A
Total	\$ 1,236,773	\$ -	

AB1600 Report
City of Indio, California
Buildings
Government Code 66000 Calculation
FYE 6/30/2023

Buildings

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Attachment No. 5

Development Type	Unit	Effective Date	
		August 1 2006	January 17 2022
Residential - Single Family	DU	1,979	1,968
Residential - Condo/Townhouse	DU	1,546	1,739
Residential - Apartment	DU	1,299	1,739
Residential - Mobile Home	DU	1,546	1,837
Commercial -Retail	KSF	625	2,887
Commercial - Office	KSF	142	2,109
Industrial	KSF	649	773

DU = dwelling unit; KSF = 1,000 gross sq ft of building area

The Fee is payable when the building permit is issued.

Account Description	Beginning Fund Balance	FY 2023	Ending Fund Balance
Revenues & Other Sources:			
Interest Earnings		3,006	
Development Impact Fees		887,002	
Total Sources		890,008	
Expenditures & Other Uses:			
Debt Service Payment (Lease Revenue Buildings Bond)		600,000	
Total Uses		600,000	
Total Available	\$ 822,808	\$ 290,008	\$ 1,112,816

Five Year Test-Unsing First In First Out Method	Amount
DIF Collected	
2019	454,769
2020	426,571
2021	618,717
2022	885,700
2023	887,002
Total Revenue For Last Five Years	\$ 3,272,759

Result : Five Year Spent Test Met in accordance with Government Code 66001 as there continues to be a reasonable relationship between the fee and the purpose for which it was adopted.

FY 2023 Capital Improvement Expenditures	FY Actuals
Debt Service Payment (Lease Revenue Building Bond)	600,000
Total	\$ 600,000

FY 2024 Planned Capital Improvement Expenditures	DIF Share	FY Budget	Total Project
Debt Service Payment (Lease Revenue Building Bond)	1,120,218	N/A	N/A
Total	\$ 1,120,218	\$ -	

Police Facilities

Attachment No. 6
316

Development Type	Unit	Effective Date	
		August 1 2006	January 17 2022
Residential - Single Family	DU	930	1,289
Residential - Condo/Townhouse	DU	672	1,138
Residential - Apartment	DU	565	1,138
Residential - Mobile Home	DU	672	1,203
Commercial -Retail	KSF	272	1,890
Commercial - Office	KSF	62	1,381
Industrial	KSF	282	506

DU = dwelling unit; KSF = 1,000 gross sq ft of building area

The Fee is payable when the building permit is issued.

Account Description	Beginning Fund Balance	FY 2023	Ending Fund Balance
Revenues & Other Sources: Development Impact Fees		421,488	
Total Sources		421,488	
Expenditures & Other Uses: Capital Projects Project Administration/Management			
Total Uses		-	
Total Available	\$ (595,158)	\$ 421,488	\$ (173,670)

Five Year Test-Using First In First Out Method	Amount
DIF Collected	
2019	198,655
2020	200,849
2021	287,988
2022	401,737
2023	421,488
Total Revenue For Last Five Years	\$ 1,510,717

Result : Five Year Spent Test Met in accordance with Government Code 66001 as there continues to be a reasonable relationship between the fee and the purpose for which it was adopted.

FY 2023 Capital Improvement Expenditures	FY Actuals
No Projects	-
Total	-

FY 2024 Planned Capital Improvement Expenditures	DIF Share	FY Budget	Total Project
Public Safety Campus	-	17,000,000	48,891,299
Total	\$ -	\$ 17,000,000	\$ 48,891,299

Fire Facilities**Attachment No. 7**

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Development Type	Unit	Effective Date	
		August 1 2006	January 17 2022
Residential - Single Family	DU	205	505
Residential - Condo/Townhouse	DU	148	446
Residential - Apartment	DU	125	446
Residential - Mobile Home	DU	148	472
Commercial -Retail	KSF	60	741
Commercial - Office	KSF	14	541
Industrial	KSF	62	198

DU = dwelling unit; KSF = 1,000 gross sq ft of building area

The Fee is payable when the building permit is issued.

Account Description	Beginning Fund Balance	FY 2023	Ending Fund Balance
Revenues & Other Sources:			
Interest Earnings		4,692	
Development Impact Fees		115,453	
Total Sources		120,145	
Expenditures & Other Uses:			
Capital Projects			
Project Administration/Management			
Total Uses		-	
Total Available	\$ 9,599	\$ 120,145	\$ 129,743

Five Year Test-Unsing First In First Out Method	Amount
DIF Collected	
2019	63,432
2020	75,334
2021	72,814
2022	101,191
2023	115,453
Total Revenue For Last Five Years	\$ 428,224

Result : Five Year Spent Test Met in accordance with Government Code 66001 as there continues to be a reasonable relationship between the fee and the purpose for which it was adopted.

FY 2023 Capital Improvement Expenditures	FY Actuals
No Projects	-
Total	-

FY 2024 Planned Capital Improvement Expenditures	DIF Share	FY Budget	Total Project
Fire Station	901,730	5,250,000	10,500,000
Total	\$ 901,730	\$ 5,250,000	

Fees are collected to fund construction of water facilities and water mains. Fees charged are based on meter size which determines capacity needs. Capacity is the amount available from the Indio Water Authority system when demanded by the user. Therefore the number of Equivalent Dwelling units (EDU) increases as the meter size (capacity) increases. The number of meters, and meter size, is estimated based on the type of development project. This fee structure Resolution 10242 was adopted on November 17, 2021 with an effective date of January 1, 2022.

<u>Water Meter Size (inches)</u>	<u>Impact Fee Charge</u>
3/4" x 1"	\$4,030
1"	\$6,717
1.5"	\$13,157
2"	\$21,495
3"	\$46,702
4"	\$74,695
6"	\$101,353
8"	\$110,469

Account Description	Beginning Fund Balance	FY 22/23	Ending Fund Balance
Revenues & Other Sources:			
Developer fees		1,464,688	
Interest income		45,561	
Reimbursements		-	
Other PY		58,866	
Total Sources		1,569,115	
Expenditures & Other Uses			
Capital Projects			
Project Administration/Internal Engineering		30,000	
Other			
Total Uses		30,000	
Total Available	8,475,022	1,539,115	10,014,137

Five Year Test Using First In First Out Method	Amount
Revenues Collected	
Revenues Collected from 2019	1,808,637
Revenues Collected from 2020	865,632
Revenues Collected from 2021	936,740
Revenues Collected from 2022	752,529
Revenues Collected from 2023	1,464,688
Total Revenue For Last Five Years	5,828,226

Result : Five Year Spent Test Met in accordance with Government Code 66001 as there continues to be a reasonable relationship between the fee and the purpose for which it was adopted.

FY 2022-23 Capital Improvement Expenditures	
Capital Improvement Facilities	FY 22/23
Project Administration/Internal Engineering	30,000
Total	\$ 30,000

FY 2023-24 Planned Capital Improvement Expenditures	FY DIF Budget	FY Project Budget	Total Project
New Well Drilling and Equipping	250,000	250,000	5,000,000
Total	\$250,000	\$250,000	\$5,000,000

As of March 1, 2013, a Supplemental Water Supply Fee is assessed on development projects in the City of Indio. The fee provides a framework to alleviate the strain on IWA's groundwater supply and is based on future water demands for new developments. Funds will be used to pursue the development of recycled water for future growth through indirect potable reuse injection. The fee varies based upon the development type, based upon the annual consumption factor with return flows multiplied by \$5,435, prorated by the size in acreage of the development type. This is defined in Section 33.066 of the Indio City Code.

Development Type	Annual Consumption Factor with Return Flows (ac-ft/ac/yr)	SWSF (\$/acre)
Commercial/Institutional	0.65	\$3,533
Hotel/Motel	1.42	\$7,718
Industrial	0.93	\$5,055
Irrigation	1.54	\$8,370
Multi-Family Residential	1.23	\$6,685
Single Family Residential	2.23	\$12,120
City Parks/Irrigation and	1.36	\$7,392
Landscape Lighting Districts	1.36	\$7,392

Account Description	Beginning Fund Balance	FY 22/23	Ending Fund Balance
Revenues & Other Sources			
Developer fees		965,163	
Interest income		34,557	
Reimbursements		-	
Other PY		5,387	
Total Sources		1,005,106	
Expenditures & Other Uses			
Capital Projects		222,455	
Project Administration/Internal Engineering		15,000	
Total Uses		237,455	
Total Available	7,107,877	767,651	7,875,528

Five Year Test Using First In First Out Method	Amount
Revenues Collected	
Revenues Collected from 2019	984,269
Revenues Collected from 2020	689,454
Revenues Collected from 2021	825,843
Revenues Collected from 2022	904,745
Revenues Collected from 2023	965,163
Total Revenue For Last Five Years	4,369,474

Result : Five Year Spent Test Met in accordance with Government Code 66001 as there continues to be a reasonable relationship between the fee and the purpose for which it was adopted.

Capital Improvement Facilities	
Capital Improvement Facilities	FY 22/23
Recycled Water Treatment-Injection at VSD	222,455
Project Administration/Internal Engineering	15,000
Total	237,455

FY 2021-22 Planned Capital Improvement Expenditure	FY Budget	FY Project Budget	Total Project
EVRA Recycled Water Groundwater Replenishment Project	200,000	300,000	70,000,000
Supplemental Water Supply Study	100,000	100,000	TBD
Total	\$200,000	\$300,000	\$70,000,000



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Wattenbarger Construction

November 8, 2023

City of Indio

Bryan Montgomery, City Manager

c/o Sami Lopez, Finance Manager

P.O. Drawer 1788 / 100 Civic Center Mall

Indio, CA 92201

Dear Mr. Montgomery,

Thank you for providing the Desert Valleys Builders Association with the opportunity to review and comment on the City of Indio's Annual and Five-Year Reportable Fees Report for fiscal year ending June 30, 2023. Upon examination of this amended report, the DVBA is satisfied that the City of Indio has fulfilled its annual reporting obligation pursuant to the Mitigation Fee Act.

Sincerely,

Gretchen Gutierrez
Chief Executive Officer